

# Regulatory Environment

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Banks operate within a highly regulated environment shaped by multiple layers of oversight, spanning supranational, national, and sector-specific regulators. These authorities establish rules to maintain financial stability, protect consumers, ensure fair competition, and prevent financial crime.

## Supranational Regulators & Standards

Supra-national organisations refer to a multinational organisation that provides oversight across multiple jurisdictions.

### BCBS

At the highest level, banks are influenced by supranational regulatory bodies that set global or regional standards. The [Basel Committee on Banking Supervision \(BCBS\)](#), hosted by the [Bank for International Settlements \(BIS\)](#), issues internationally recognised frameworks such as [Basel III](#). Although not legally binding, these standards are adopted into national legislation and enforced by domestic regulators.

### FSB

Globally Systemically Important Banks (G-SIBs) are subject to heightened regulatory scrutiny due to their potential impact on the wider financial system. Globally, these are monitored under frameworks developed by the [Financial Stability Board \(FSB\)](#). In 2015, the Financial Stability Board (FSB) published the “Principles on Loss-absorbing and Recapitalisation Capacity of G-SIBs in Resolution” standard ([TLAC](#)), which was aimed at ensuring that G-SIBs had sufficient recapitalisation capacity available in the event of a resolution, such that the impact of the bank’s failure would be minimised.

## National Regulators & Regulations

Each jurisdiction applies these international standards through its national regulators. In South Africa, the [South African Reserve Bank \(SARB\)](#) is the primary prudential regulator responsible for maintaining financial stability and supervising banks. In the United Kingdom, the regulatory framework follows the Twin Peaks model similar to South Africa with the [Bank of England](#) being the main regulator.

The regulators can increase the required capital depending on a bank’s risk assets, thereby ensuring that an adequate amount of capital and reserves is maintained to safeguard the bank’s solvency.

### “Twin peaks” Regulation System

The “twin peaks” regulation is a comprehensive and complete system for regulating the financial services industry in a number of jurisdictions. This system entails the creation of two regulatory bodies that provide oversight of the financial system. This new system reduces the risk of regulatory arbitrage as well as ensures greater oversight of the system, which reduces potential systemic risks. The twin peaks model has been adopted in multiple jurisdictions. These include:

1. United Kingdom
2. South Africa
3. Netherlands

4. Australia
5. New Zealand
6. Belgium.

In South Africa the Financial Sector Regulation Act (FSR Act) formally introduced the Twin Peaks regulatory model, separating prudential and conduct oversight.

## Aims of Regulation

There are 4 aims/goals of regulation namely to:

- Maintain financial stability;
- Protect the consumer;
- Prevent financial crime; and
- Ensure fair competition.

## Financial Stability Maintenance

The [Prudential Authority \(PA\)](#), which operates within SARB, oversees the safety and soundness of financial institutions through the implementation of the [Banks Act](#), while the Financial Sector Conduct Authority (FSCA) regulates market conduct and consumer protection. The creation of the PA allows the SARB to focus on its primary mandate to protect the value of the rand in the interest of balanced and sustainable economic growth. The PA ensures that banks maintain adequate capital and liquidity buffers in line with Basel standards. This reduces the risk of instability in the financial sector caused by a potential collapse of any financial institution.

The [Prudential Regulation Authority \(PRA\)](#) — part of the Bank of England — is responsible for prudential supervision, focusing on the safety and resilience of banks, insurers, and major investment firms. The latest regulation that is being amended is the [CRR Near Final Requirements](#). The Financial Policy Committee (FPC) within the Bank of England also plays a macroprudential role, identifying systemic risks and ensuring the stability of the UK financial system as a whole.

In the European Union, the European Central Bank (ECB) and the [European Banking Authority \(EBA\)](#) play central roles in harmonising banking regulation by implementing the [Capital Requirements Regulation \(CRR\)](#). The ECB, through the Single Supervisory Mechanism (SSM), directly supervises significant banks in the euro area, ensuring that they comply with EU prudential requirements. The EBA develops technical standards and conducts stress testing to promote consistency across member states.

In the EU, the [Single Resolution Board \(SRB\)](#) oversees recovery and resolution planning for significant institutions, ensuring that no bank is “too big to fail.” For resolution planning purposes, TLAC is not a legally binding requirement. It is a political commitment. TLAC will be implemented in the UK/EU through [MREL](#). In South Africa, SARB plays a similar role, identifying domestically systemically important banks (D-SIBs) and imposing additional capital surcharges and resolution requirements.

## Consumer Protection

Consumer protection is a key pillar of banking regulation. In South Africa, the [Financial Sector Conduct Authority \(FSCA\)](#) regulates market conduct and consumer protection. The FSCA ensures that financial products and services are sold fairly and transparently, enforcing principles such as Treating Customers Fairly (TCF). The FSCA enforces consumer-centric legislation such as the Financial Advisory and Intermediary

Services (FAIS) Act, which governs how financial advice and intermediary services are offered. The National Credit Act (NCA) regulates the granting of credit, aiming to promote responsible lending and prevent over-indebtedness.

Meanwhile, in the UK the [Financial Conduct Authority \(FCA\)](#) oversees market conduct, ensuring firms act in consumers' interests, maintain integrity in markets, and promote competition. The Financial Services and Markets Act (FSMA), which stops anyone from providing financial services without the relevant permissions.

## **Deposit Protection**

Deposit insurance regulation plays a pivotal role in ensuring that the consumer is protected against any bank failures that may occur. A DIS (deposit insurance scheme) helps alleviate fears of loss of money that exist amongst the public when depositing funds with a given bank. The cost of any deposit insurance scheme is likely to be placed on the participating banks. The main aim of this type of scheme is to safeguard deposited funds with banks up to a certain threshold.

In the case of South Africa, the Reserve Bank aims to ensure protection for the more vulnerable in society as well as contribute to a less concentrated banking sector. During 2021, the Corporation for Deposit Insurance (CoDI), a subsidiary of the SARB, was established and has made progress with the development of a DIS for South Africa. This scheme aims to protect retail depositors for an amount up to R100 000.

Similarly, in the UK, the Financial Services Compensation Scheme (FSCS) guarantees deposits up to £85,000 per customer per bank, fostering trust in the financial system. In the UK, not all bank and building societies are covered under this scheme. To form part of this scheme, the PRA will be required to authorise participation.

A potential downside to this initiative is potential poor management of banks given that this fall back exists. It is for this reason that effective supervisory oversight is essential.

## **Data Protection**

In addition to financial regulations, banks must comply with data protection and privacy laws. With the increasing move towards storing data digitally, regulation around the use and storage of data has received particular attention.

Overall, data regulation and its adoption by banks helps improve consumer confidence in the financial sector. Data breaches and hacks pose a large operational risk to banks. As such, the additional focus on data handling and storage arising from regulations encourages banks to improve data systems and minimise vulnerabilities, which can help mitigate this risk. However, over time, the complexity of regulation and the cost to adhere to the regulation may increase, which may pose additional barriers of entry to smaller banks.

In South Africa, this is governed by the Protection of Personal Information (PoPI) Act, which aligns closely with the EU's General Data Protection Regulation (GDPR). These laws regulate how banks collect, store, and process customer data, requiring transparency and explicit consent from clients. As part of the Constitution of South Africa, the PoPI Act recognises that everyone in South Africa has a right to privacy, which includes privacy in the digital realm. The Act enables people to control how their data is collected and used. The Act also enables the creation of an Information Regulator, which will enforce and monitor adherence to the Act in South Africa.

The main elements of the regulation, and how banks may be affected are provided below:

- Lawfulness, fairness, and transparency: Banks need to adhere to the law when storing data and must make it clear to consumers as to what data is collected
- Purpose limitation: Banks may only use the data for purposes that the subject explicitly agreed to when the data was collected
- Data minimization: Banks should only collect as much data as needed
- Accuracy: When collecting data, banks should collect personal data that is accurate and up to date
- Storage limitation: Banks may only store data for as long as it serves the agreed upon purpose
- Integrity and confidentiality: Data should be processed in such a way as to keep it secure
- Accountability: Banks often play the role of a “data controller” and as such should be able to show adherence to compliance with the above principles.

## Financial Crime Prevention

In South Africa, complementary legislation such as the Financial Intelligence Centre Act (FICA) enforces anti-money laundering (AML) and Know Your Customer (KYC) obligations, while the National Payment System (NPS) Act governs the integrity and efficiency of payment systems.

## Fair Competition

In South Africa, the Companies Act (2008) applies to all corporate entities, while in the UK it is the Companies Act 2006 (Companies Act), the main piece of legislation governing companies in the UK. It is the longest piece of legislation in the UK with over 1 300 sections. The main aims of the Companies Act are to modernise and simplify corporate law, codify common law, improve shareholders’ rights, and simplify the administration process.